

GovCon BD Upskilling Program

GovCon Market Overview

Module 1.1 | Domain D1 (23%)

DURATION

2-3 hours

FORMAT

Live Instructor-Led

GovConGiants

30-Day Foundation Program

Module 1.1: GovCon Market Overview

Learning Objectives

By the end of this module, learners will be able to:

1. **Describe** the structure and size of the federal contracting market using current spending data
2. **Identify** the major federal agencies and their roles as buyers of goods and services
3. **Explain** the federal budget cycle and its impact on procurement timing
4. **Recognize** the role of small business programs in federal contracting
5. **Navigate** USAspending.gov to research agency spending patterns

Required Reading/Viewing

Official Government Resources (Free)

1. **USAspending.gov** - “About the Data”
 - URL: <https://www.usaspending.gov/about-the-data>
 - Focus: Understanding federal spending data sources
2. **GAO Budget Basics** - “The Federal Budget Process”
 - URL: <https://www.gao.gov/products/gao-23-106530>
 - Focus: Budget cycle and appropriations process
3. **SBA.gov** - “Small Business Procurement Scorecard”
 - URL: <https://www.sba.gov/federal-contracting/contracting-guide/prime-contracts>
 - Focus: Government small business goals

Supplementary Reference

- **Action Plan Journal** (GovCon Giants)
 - Government Acronyms: pages 4-9
 - Part 2 Initial Assessment: page 33

Lesson Content

1. The Federal Market: Size and Scope

The federal government is the world's largest buyer of goods and services. Understanding this market is fundamental to GovCon business development.

Key Statistics (FY2025 Data)

- Total federal contract spending: **\$700+ billion annually**
- Number of contract actions: 5+ million per year
- Number of unique contractors: 150,000+ active vendors
- Small business share target: 23% of prime contracts

Why This Matters for Your Role:

Whether you're in operations, program management, or delivery, understanding market size helps you:

- Recognize the scope of opportunities available
- Contextualize your company's position
- Identify growth potential in target agencies

2. Major Federal Agencies as Buyers

Federal agencies fall into different categories based on their procurement volume and focus areas.

Top 10 Agencies by Contract Spending:

1	Department of Defense (DoD)	Defense, IT, logistics, services
2	Department of Health & Human Services (HHS)	Healthcare, IT, research
3	Department of Veterans Affairs (VA)	Healthcare, IT, construction
4	General Services Administration (GSA)	Government-wide services, IT
5	Department of Homeland Security (DHS)	Security, IT, border services
6	Department of Energy (DOE)	Energy, research, environmental
7	NASA	Aerospace, research, IT

8	Department of Justice (DOJ)	Law enforcement, IT, services
9	Department of the Treasury	Financial services, IT
10	Department of Transportation (DOT)	Transportation, infrastructure

Within-Agency Structure:

- **Components/Bureaus:** Agencies have sub-organizations that buy independently
- **Contracting Offices:** Where procurement decisions are made
- **Program Offices:** Where requirements originate (your customer)

3. The Federal Budget Cycle

Understanding the budget cycle is critical for timing your BD activities.

Annual Budget Cycle:

February	President's Budget submitted	See agency priorities
Mar-Sep	Congressional appropriations	Funding uncertainty
October 1	Fiscal Year begins (FY)	New funding available
Q4 (Jul-Sep)	"Use it or lose it" spending	Procurement surge

Key Timing Patterns:

- **Q1 (Oct-Dec):** New year starts; agencies plan large procurements
- **Q2 (Jan-Mar):** Steady procurement; forecasts published
- **Q3 (Apr-Jun):** Major RFPs released; capture activities peak
- **Q4 (Jul-Sep):** Year-end spending surge; quick-turn opportunities

Continuing Resolutions (CRs)

When Congress doesn't pass appropriations on time, agencies operate under a Continuing Resolution:

- Spending limited to prior-year levels
- New programs/contracts delayed
- Creates uncertainty and pent-up demand

4. Small Business Programs

The federal government has aggressive goals for contracting with small businesses.

Government-Wide Small Business Goals:

Small Business (overall)	23%
Small Disadvantaged Business (SDB)	12%
Women-Owned Small Business (WOSB)	5%
Service-Disabled Veteran-Owned (SDVOSB)	3%
HUBZone	3%

Set-Aside Types:

- **Total Set-Aside:** Only small businesses can compete
- **Partial Set-Aside:** Portion reserved for small business
- **Sole Source:** Direct award to qualified small business

Why This Matters

- If your company is small: Understand your competitive advantages
- If your company is large: Teaming with small businesses is essential
- Know your company's certifications and how they open doors

5. Using USAspending.gov

USAspending.gov is the official source for federal spending data.

Key Features:

1. **Agency Profiles:** See spending by agency
2. **Recipient Profiles:** Research competitor awards
3. **Spending by Geography:** State/local spending data
4. **Award Search:** Find specific contracts
5. **Download Data:** Export for analysis

Basic Navigation Exercise:

1. Go to <https://www.usaspending.gov>
2. Click "Spending Explorer"
3. Select "Agency" to see spending by agency
4. Drill into your target agency
5. View by "Object Class" to see service vs. product spending

■ AI Accelerator: Using AI for Market Research

AI tools like ChatGPT, Claude, and Gemini can dramatically accelerate your market research. Use these prompts to save time and gain deeper insights.

Prompt 1: Agency Overview Summary

Use When: You need a quick overview of an agency's mission and procurement focus.

I'm researching the [AGENCY NAME] for federal contracting opportunities.

Please provide:

1. A brief overview of the agency's mission (2-3 sentences)
2. Their major components/bureaus that issue contracts
3. Top 3-5 categories of goods/services they typically procure
4. Any known strategic priorities or modernization initiatives
5. Key acronyms I should know when researching this agency

Format as a concise briefing I can use for internal discussions.

Prompt 2: Summarize USAspending Data

Use When: You've pulled spending data and need help analyzing it.

I pulled the following spending data from USAspending.gov for [AGENCY NAME]:

[PASTE YOUR DATA HERE - e.g., spending categories, amounts, percentages]

Please help me:

1. Identify the top 3 spending trends
2. Highlight any year-over-year changes that are significant
3. Suggest what these patterns might mean for a company offering [YOUR SERVICES]
4. Recommend 2-3 follow-up research questions based on this data

Prompt 3: Explain Budget Cycle Impact

Use When: You need to understand how timing affects opportunities.

I'm planning BD activities for a company that provides [YOUR SERVICES] to federal agencies. Based on the federal budget cycle:

1. What are the best months to engage agency customers?
2. When should we expect the most RFPs to be released?
3. How do Continuing Resolutions typically affect procurement timing?
4. What should we be doing during Q4 (July-September)?

Provide a quarterly action plan for BD timing.

Prompt 4: Small Business Program Explanation

Use When: You need to understand certification advantages.

Our company holds [CERTIFICATION TYPE - e.g., 8(a), SDVOSB, WOSB, HUBZone] certification. Please explain:

1. What contracting advantages does this certification provide?
2. What types of set-asides are we eligible for?
3. Are there sole-source thresholds we should know about?
4. Which agencies are most active in using this set-aside type?
5. What should we emphasize when marketing to government customers?

Pro Tips for Using AI in Market Research

Verify AI outputs against official sources (US-Aspending, SAM.gov)	Rely solely on AI for spending numbers
Use AI to summarize and analyze data you've collected	Ask AI for current contract opportunities
Ask follow-up questions to dig deeper	Accept the first response without refinement
Copy prompts and customize with your specific details	Use generic prompts without context

Remember

AI is your research assistant, not your source of truth. Always verify critical data against official government websites.

Applied Exercise: Market Research with USAspending

Scenario: Your company wants to understand the federal market for IT services. Your manager asks you to research spending patterns.

Instructions:

1. Access USAspending.gov

- Navigate to <https://www.usaspending.gov>
- Click on “Spending Explorer”

2. Select an Agency

- Choose one of the top 5 agencies (DoD, HHS, VA, GSA, or DHS)
- Note the total contract spending for the most recent fiscal year

3. Drill Down by Category

- Find the “Product or Service Code” breakdown
- Identify the top 3 categories of spending

4. Document Your Findings

- Complete the Market Overview Worksheet (template below)
- Note at least 3 observations about spending patterns

Time: 30-45 minutes

Work Artifact: Market Overview Worksheet

Agency Market Research

Your Name: _____

Date: _____

Agency Researched: _____

Section 1: Agency Overview

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Total contract spending (most recent FY)	\$
Year-over-year change (% increase/decrease)	
Number of contract actions	
Top contracting office	

Section 2: Spending by Category

1		\$	%
2		\$	%
3		\$	%

Section 3: Small Business Performance

Small business prime contract %	%
Meets government goal (23%)?	Yes / No
Top small business set-aside category	

Section 4: Key Observations

Observation **1:**

Observation **2:**

Observation**3:**

Section 5: Relevance to Our Company

How does this agency's spending relate to our capabilities?

What opportunities might exist based on this research?

Knowledge Check (Self-Assessment)

Purpose: These questions help reinforce your learning. They are NOT graded—use them to confirm your understanding.

Question 1 (Scenario)

Your company's CEO asks: "How big is the federal market, and why should we care?"

Which response best demonstrates market intelligence?

- A) "It's big—probably billions of dollars."
- B) **"The federal government spends over \$700 billion annually on contracts, making it the world's largest buyer. For our IT services, agencies like DoD and HHS represent significant opportunities."**
- C) "You should look at SAM.gov for opportunities."
- D) "Federal contracting is very competitive and probably not worth our time."

Correct Answer: B

Question 2 (Recall)

When does the federal fiscal year begin?

- A) January 1

- B) April 1
- C) July 1
- D) **October 1**

Correct Answer: D

Question 3 (Scenario)

Your manager mentions that Q4 (July-September) is critical for BD activities. Why is this true?

- A) Most agencies close for summer vacation
- B) **Agencies must obligate remaining funds before the fiscal year ends (“use it or lose it”)**
- C) Congress is in recess and not passing new laws
- D) Contract prices are lowest during summer months

Correct Answer: B

Question 4 (Recall)

What is the government-wide small business contracting goal?

- A) 15% of prime contracts
- B) **23% of prime contracts**
- C) 30% of prime contracts
- D) 50% of prime contracts

Correct Answer: B

Question 5 (Application)

You’re researching agency spending on USAspending.gov. You want to understand which agencies spend the most on professional services. Which feature would you use?

- A) Award Search
- B) **Spending Explorer by Agency**
- C) Recipient Profiles
- D) State Profiles

Correct Answer: B

Question 6 (Scenario)

Congress hasn’t passed appropriations bills, and agencies are operating under a Continuing Resolution (CR). How should this affect your BD planning?

- A) Stop all BD activities until the CR ends
- B) **Expect delays in new contract awards but continue relationship building**
- C) Focus only on existing contracts; no new opportunities will emerge
- D) CRs don't affect contracting at all

Correct Answer: B

Manager Discussion Prompts

Use these questions for your check-in with your manager:

1. **Current Context:** "What agencies or markets are most relevant to our current contracts and growth strategy?"
2. **Application:** "How does our company currently track federal spending data? Is there a better way I can contribute to market intelligence?"
3. **Career Development:** "What BD or market research skills would be most valuable for me to develop based on our company's strategic priorities?"

Completion Criteria

To complete this module:

- ☐ Read all required materials (approximately 30 minutes)
- ☐ Complete the lesson content review (45-60 minutes)
- ☐ Finish the Applied Exercise using USAspending.gov
- ☐ Submit a completed Market Overview Worksheet
- ☐ Review the Knowledge Check questions (self-assessment, not graded)
- ☐ Participate in manager discussion (or document self-reflection)

Estimated Total Time: 2-3 hours

Note: There is no pass/fail grade. Complete the activities to receive credit for this module.

Additional Resources

Free Tools for Deeper Research

USAspending.gov	usaspending.gov	Spending data, trends
SAM.gov Contract Data	sam.gov/content/contract-data	Historical awards

Acquisition Gateway Forecast	acquisitiongateway.gov/forecast	Upcoming opportunities
Agency Strategic Plans	Agency websites	Mission priorities

Key Terms Glossary

Fiscal Year (FY): October 1 - September 30; the government's budget year

Appropriations: Congressional funding for agencies

Continuing Resolution (CR): Temporary funding when appropriations aren't passed

Set-Aside: Contracts reserved for specific business categories

Prime Contract: Direct contract with the government (vs. subcontract)

Obligation: Government commitment to spend funds

Action Plan Journal Activities

After completing this module, use your **Action Plan Journal** to:

1. Review the **Government Acronyms** section (pages 4-9) and highlight any terms you didn't know
2. Complete the **Part 2 Initial Assessment** (page 33) to identify gaps in your agency knowledge
3. Begin thinking about your **Top Ten Customers** (page 35) based on what you learned about agency spending

Journal Reference

The Action Plan Journal is your field manual for putting these concepts into practice. Keep it with you as you work through the program.